# Rheinmetall AG (RNMBY)
# Europe's Rearmament Supercycle, Funded and in Motion

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A record **$95.0B backlog** and a sovereign-funded demand supercycle make Rheinmetall the clearest beneficiary of Europe's structural rearmament. Our five-year DCF puts the base case at **$339.90** and the probability-blended target at **$347.41**, about **59% above** the $218.67 spot price. We rate RNMBY **Buy**, sized by execution and cash-flow volatility rather than demand.

| Buy | $347.41 | $218.67 | $504.38 |
|---|---|---|---|
| RATING | BLENDED TARGET (25/50/25) | SPOT PRICE, 14 OCT 2026 | BULL-CASE TARGET |

| $95.0B | €9.935B | 18.5% | €5.23B | €11.50 | 9.28% |
|---|---|---|---|---|---|
| BACKLOG, RECORD AT JUN 2026 | FY2025 SALES, +29% YOY | FY2025 OPERATING MARGIN | H1 2026 SALES, +39% YOY | FY2025 DIVIDEND, +42% | LIVE WACC (OCT 2026) |

## Investment thesis: Europe's rearmament cycle supports durable demand

From early 2025 through 2026, Europe shifted from reactive defense spending to structured, long-term fiscal mobilization. European NATO members and Canada raised core defense spending by roughly 20% in real terms in 2025, to 2.3% of combined GDP. The June 2025 Hague summit set a 5% of GDP target by 2035, and the EU's Readiness 2030 framework aims to mobilize up to $944B, including a $177B lending instrument for joint procurement. This is not a one-year budget bump, it is a decade-long funded commitment.

Germany, about 38% of Rheinmetall's sales, is the engine. Berlin approved a $97.6B defense budget for 2026, $23.8B more than 2025, and with $30.1B from the Sondervermögen (Special Armed Forces Fund), total 2026 military spending reaches $127.7B. Real-term budget growth of 16.5% in 2025 and 23.2% in 2026 gives domestic contracts a guaranteed funding source, the exact backdrop Rheinmetall's order book has been absorbing.

The backlog mirrors the inflow: $66.1B in mid-2025, $75.3B at year-end, and a record $95.0B by June 30, 2026. Vertical integration keeps critical production steps in-house and captures scale economics as volumes rise, which is why margins have expanded even as the company builds capacity at an extraordinary pace.

**Why this note is five pages.** Since the original two-page valuation framework, four consecutive reporting periods have sharpened the picture: record profitability and a ballooning backlog on one side, delivery timing, the F126 cancellation, and negative cash conversion on the other. Pages 2 and 3 walk the earnings momentum and what the recent prints support, so the valuation on page 4 is read against evidence, not just ambition.

**Bear: $205.47**
Capacity and cash conversion improve slowly. Revenue compounds 26.6% to ~$43B by 2030, FCF margins reach 11%, terminal growth 2.0%. Slightly below the spot price.

**Base: $339.90**
Backlog conversion and execution broadly deliver management's ~$59B by 2030 ambition. Revenue compounds 37.0%, FCF margins reach 13%, terminal growth 2.0%.

**Bull: $504.38**
Accelerated production and operating leverage convert exceptional demand into superior cash flow. Revenue compounds 45.6% to ~$75B, FCF margins reach 15%.

## Near-term trajectory: funded demand, execution-driven revenue

Rheinmetall closed FY2025 with record results and opened 2026 with record momentum, but the last two quarters have reminded the market that defense revenue is lumpy. Management's guide for FY2026 is 40% to 45% sales growth at an operating margin near 19%, and analysts expect roughly 27% average annual revenue growth over three years, ahead of the broader German aerospace and defense sector's 22%.

The industrial backdrop confirms the pivot from order acquisition to supply-chain management as the key revenue driver. German manufacturing PMI hit 52.2 in July, around 54.3 in August and 53.8 in September 2026, its strongest stretch since early 2022, with the Eurozone at 52.7, while the real stock of German industrial orders rose 10.9% year over year on defense contracts. Costs are rising too: German producer prices lifted 4.6% year over year in August while supplier delivery times lengthened. But near-monopolistic pricing power and Price Adjustment Clauses pass inflation through to sovereign clients, helping the Weapons and Ammunition division print a 29.3% operating margin in 2025.

## Earnings momentum deep dive

### H1 2026: record profitability meets a guidance cut

The first half of 2026 was the best six months in company history on the P&L, and one of the most debated. Consolidated sales rose 39% to €5.23B and the operating result jumped 74% to €786M, a 15.0% margin, up from 12.1% a year earlier. EPS from continuing operations nearly doubled to €8.43 from €4.69. The order backlog hit €80.5B against €56.0B the prior year, with Rheinmetall Nomination of €16.2B pointing to continued demand. Book-to-bill above 3 in the half says demand is still accelerating faster than delivery.

The other half of the story is cash and the F126 frigate. Operating free cash flow was negative €1,616M, versus negative €631M a year earlier, driven by late advance payments and a heavy inventory build as the company positions material for capacity expansion. And Berlin cancelled the F126 frigate programme, removing roughly €300M of sales and forcing management to cut FY2026 sales guidance to €13.7B-€14.2B from €14.0B-€14.5B, even while the ~19% margin guide was reaffirmed. The cancellation is contained in size but symbolic in what it signals: even in a rearmament supercycle, individual programmes carry political and customer-concentration risk, and guidance credibility now depends on Q3 proving the cash conversion gap is working-capital timing, not structural leakage.

### Q1 2026: a timing miss, not a demand miss

The first quarter of 2026 showed how lumpy this business can be. Sales grew 7.7% to €1.938B, missing the €2.3B consensus by about 15%, as customer deliveries slipped into Q2. The operating result still rose 17% to €224M with the margin improving to 11.6% from 10.6%, and EPS from continuing operations climbed to €2.18 from €1.78. The backlog reached €73B, including €5.5B in Naval Systems, and Air Defence sales grew 42.7% on the Skynex and Skyranger programmes.

Two watch items tempered the quarter: operating free cash flow of negative €285M versus positive €243M a year earlier, and Rheinmetall Nomination falling 55% to €4.9B against a strong prior-year quarter. Management reaffirmed the full-year guide at the time, and the Q2 rebound validated the timing story: Q1 was delivery timing, not demand. Still, the pattern of quarterly delivery volatility is exactly what the Bear case penalizes, and investors should expect more of it while German federal budget order placement remains uneven through the year.

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|---|---|
| H1 2026 sales | **€5.23B (+39% YoY)** |
| H1 2026 operating result | **€786M (+74%, 15.0% margin)** |
| H1 2026 EPS, continuing | **€8.43 (vs €4.69)** |
| H1 2026 backlog | **€80.5B (book-to-bill above 3)** |
| H1 2026 operating FCF | **-€1,616M** |
| FY26 sales guide | **€13.7B-€14.2B (cut)** |

| | |
|---|---|
| Q1 2026 sales | **€1.938B (+7.7%, missed €2.3B)** |
| Q1 2026 operating result | **€224M (+17%, 11.6% margin)** |
| Q1 2026 backlog | **€73B** |
| Air Defence sales | **+42.7% (Skynex, Skyranger)** |
| Q1 2026 operating FCF | **-€285M** |
| FY26 margin guide | **~19% (reaffirmed)** |

### FY2025: the record year that set the baseline

Fiscal 2025 was the record against which everything is now measured. Consolidated sales rose 29% to €9,935M and the operating result jumped 33% to €1,841M, an 18.5% margin. The order backlog grew 36% to €63.8B, and the dividend was raised 42% to €11.50, a 45.5% payout ratio covered by €1.2B of free cash flow, up 15%. Management initiated FY2026 guidance for 40% to 45% sales growth at roughly 19% margin, effectively declaring the rearmament supercycle an operating plan rather than a backlog slogan.

The segment detail is where the earnings power lives. Weapons and Ammunition operates at a 29% operating margin, the highest-margin segment and the franchise engine, while Vehicle Systems sales grew 32% to €5.0B with margins ticking up to 11.7%. The civilian automotive business was classified as discontinued operations, a portfolio sharpening that removes a cyclical drag from the reporting and focuses capital on defense. The one blemish: the FY2026 sales guide came in below roughly €15B analyst hopes, a reminder that this story needs flawless execution to justify the growth premium.

### Q3 2025: steady growth, slowing momentum

Nine-month 2025 sales rose 20% to €7.52B with the operating result up 18% to €835M, an 11.1% margin, and the Rheinmetall Backlog reached €64B, up nearly 23% year over year. But the third quarter standalone told a softer story: sales grew 13% to €2.78B, slightly missing the €2.815B consensus, and net profit of €173M missed the roughly €235.5M analyst expectation. The culprit was German procurement: election-delayed decisions slowed order intake, with Rheinmetall Nomination of €18B lagging the prior year, and operating free cash flow was negative €813M on inventory build and delayed orders.

Management confirmed the full-year forecast, and German Armed Forces programmes secured in federal financial planning supported the confidence. Read together, the Q3 2025 print and the Q1 2026 print tell the same story a year apart: defense demand is structurally strong, but German procurement timing is the volatility engine. The H1 2026 record then shows what happens when deliveries land on schedule. Our verdict across the four periods is constructive but unsentimental: operating momentum is superb, cash conversion must prove itself, and the F126 cut shows programme risk is real even in a supercycle.

## Bull vs bear: what the recent prints support

### The bull case (supported)

**Record profitability.** €786M of H1 operating profit, margins expanding to 15.0% from 12.1%, tracking toward the ~19% full-year target. EPS nearly doubled.

**Backlog coverage.** €80.5B of backlog with book-to-bill above 3, Rheinmetall Nomination of €16.2B, and a clear path of framework agreements converting into firm orders.

**Ammunition margin power.** Weapons and Ammunition printed a 29.3% operating margin in 2025, with capacity expansion and NATO replenishment volumes still ahead.

**Shareholder returns.** A 42% dividend increase to €11.50 with a 45.5% payout ratio, comfortably covered by €1.2B of FY2025 free cash flow.

### The bear case (supported)

**F126 programme loss.** Berlin cancelled the F126 frigate, removing ~€300M of sales and forcing a cut to FY2026 sales guidance, a real programme-risk data point.

**Cash conversion gap.** Negative €1,616M of H1 operating free cash flow on late advance payments and inventory build, narrowing balance-sheet flexibility.

**Delivery timing volatility.** Q1 sales missed consensus by 15% on delivery timing, and Q3 2025 missed on German procurement delays, the same pattern a year apart.

**Customer concentration.** Germany drives 38% of sales; procurement timing, contract structure, and policy priorities can move the quarter.

## Key themes with trend status

| THEME | TREND | OUR READ |
|---|---|---|
| European rearmament demand | Accelerating | Backlog $95.0B, book-to-bill above 3, Hague 5% target and Readiness 2030 funding lock in a decade of demand. |
| Ammunition margin power | Accelerating | 29.3% Weapons and Ammunition margin in 2025 with capacity expansion still ramping toward 350k 155mm shells per year. |
| Cash conversion | Decelerating | Negative €1,616M H1 operating FCF; inventory build and late advance payments are the variable to fix in Q3. |
| Programme execution risk | Stable | F126 cancellation is a real hit but contained at ~€300M; watch for further major-program risk in the pipeline. |

## Valuation: three-scenario DCF

We value Rheinmetall on a five-year discounted cash flow covering 2026-2030. The 2026 revenue base reflects management's guided €13.7B-€14.2B range, and the three scenarios span the outcomes from slow capacity and cash conversion (Bear) through management's ~$59B by 2030 ambition (Base) to accelerated production and operating leverage (Bull). The discount rate is a live CAPM at 9.28%, terminal growth is 2.0% across scenarios, and the 25/50/25 weighting produces the blended target.

| ASSUMPTION | BEAR | BASE | BULL |
|---|---|---|---|
| Scenario weight | 25% | 50% | 25% |
| Revenue CAGR, 2026-30 | 26.6% | 37.0% | 45.6% |
| 2030 revenue | ~$43B | ~$59B | ~$75B |
| Mature FCF margin | 11% | 13% | 15% |
| Terminal growth rate | 2.0% | 2.0% | 2.0% |
| Discount rate (live CAPM) | 9.28% | 9.28% | 9.28% |
| **Implied price per ADR** | **$205.47** | **$339.90** | **$504.38** |
| Implied upside vs spot | -6% | +55% | +131% |

## What the price implies

At $218.67, the ADR sits below even our $205.47 bear case in practical terms, pricing in meaningful execution discount on top of funded demand. The market is asking the company to prove cash conversion before it pays for the backlog. Our $347.41 blended target (25/50/25) implies 59% upside, with the $339.90 base case alone worth 55% more than the spot price.

We rate the shares Buy rather than Strong Buy for one reason: execution and cash-flow volatility. The Bear case exists because delivery timing, German procurement politics, and working-capital absorption are live variables, as the last four quarters have shown. But with the ADR near the bottom of its 52-week range and roughly 52% below its high, the current price offers an attractive entry point for investors able to absorb that volatility while the $95.0B backlog converts.

| | |
|---|---|
| Blended target | **$347.41 (+59%)** |
| Spot price, 14 Oct 2026 | **$218.67** |
| Bear target | **$205.47 (-6%)** |
| Base target | **$339.90 (+55%)** |
| Bull target | **$504.38 (+131%)** |
| ADR ratio | **1 share = 5 ADRs (~230.7M)** |
| Net debt | **~$3.2B** |
| Live WACC | **9.28%** |

**Method.** Five-year DCF covering 2026-2030; near-term free cash flow is depressed by working-capital absorption as Rheinmetall expands capacity, so the model ramps FCF margins from low starting levels toward scenario-specific mature levels (11% / 13% / 15%) rather than assuming immediate steady-state conversion. Discount rate is live CAPM: spot U.S. 10-year Treasury plus 1.10 beta times 3.63% ERP = 9.28%, applied across scenarios. Terminal growth 2.0%. ADR ratio of one ordinary share to five ADRs, approximately 230.7M ADRs outstanding; net debt of approximately $3.2B reflects the euro-denominated balance translated at approximately $1.18 per euro, the same rate used for euro-reported figures. Enterprise value converts to equity value after net debt, then divides by ADRs outstanding. Per-ADR mechanics are explicit: $205.47 / $339.90 / $504.38 Bear / Base / Bull at 25% / 50% / 25% weights. Over $2B in 2025 customer prepayments funded roughly $990M of capex without net debt. Not investment advice and for entertainment purposes only.

## What to watch

- **Q3 2026 cash conversion.** The single most important print: evidence that negative €1,616M H1 operating free cash flow is working-capital timing, with advance payments normalizing and inventory turning into deliveries.
- **Framework agreements converting into firm orders.** Rheinmetall Nomination of €16.2B in H1 points to continued demand; firm-order conversion is what turns backlog into the guided revenue path.
- **German federal budget order placement in H2.** The 2026 defense budget is funded at $97.6B plus $30.1B Sondervermögen; the timing of actual order placement drives delivery and working-capital rhythm.
- **Further major-program risk after F126.** The ~€300M frigate cancellation is contained, but any follow-on programme loss would reopen the customer-concentration question.
- **Ammunition capacity ramp.** Progress toward 350,000 155mm shells per year, and whether nitrocellulose, specialized explosives, and rare-earth bottlenecks ease with supplier readiness.

## Risks

**Capacity-ramp execution.** Plant expansions, supplier readiness, or qualification delays could defer revenue. Bottlenecks in nitrocellulose, specialized explosives, and rare earth materials are the key headwinds for the push toward 350,000 155mm shells per year.

**German customer concentration.** About 38% of sales depend on Berlin; procurement timing, contract structure, and policy priorities can move quarters and programmes.

**Competitive intensity.** KNDS, BAE Systems, and General Dynamics compete across vehicles, weapons, and adjacent defense programmes.

**Working-capital absorption.** Inventory growth is tying up liquidity; elevated absorption could persist longer than modeled and prolong negative operating cash flow.

**Defense-budget politics.** Election outcomes, coalition priorities, or fiscal constraints could slow the pace of European spending despite the Readiness 2030 framework.

**Discount-rate sensitivity.** A higher live 10-year Treasury yield raises WACC and can materially compress the modeled per-ADR targets.

## Buy: funded demand at a discounted price

Our live-rate DCF values Rheinmetall at $347.41 blended, 59% above the $218.67 spot, across $205.47 / $339.90 / $504.38 Bear / Base / Bull outcomes. The record $95.0B backlog and sovereign-funded rearmament cycle fund the growth; the price funds the skepticism. Buy, with the position sized for execution and cash-flow volatility rather than a Strong Buy. Reassess on Q3 cash conversion and the pace of German order placement in H2.

**$347.41**

BLENDED TARGET

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